



January 8, 2026

HOUSE BILL No. 1185

DIGEST OF HB 1185 (Updated January 8, 2026 9:26 am - DI 140)

Citations Affected: IC 14-32; IC 15-11; IC 26-3.

Synopsis: Department of agriculture. Adds a purpose for which money in the clean water Indiana fund may be used. Renames the value added research fund to the agricultural market development fund and makes various changes to the purposes for which money in the agricultural market development fund may be used. Allows the agricultural market development fund to accept grants, donations, and money received from any other source. Requires the division of soil conservation to work in collaboration with state and federal agencies and research institutions in the installation and maintenance of mesonet sites. Allows money in the grain buyers and warehouse licensing agency license fee fund to be used to augment and supplement funding for the implementation of the Indiana grain buyers and warehouse licensing and bonding law subject to approval by the budget agency. Makes conforming changes.

Effective: July 1, 2026.

Aylesworth

January 5, 2026, read first time and referred to Committee on Agriculture and Rural Development.

January 8, 2026, reported — Do Pass. Referred to Committee on Ways and Means pursuant to Rule 126.3.

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Second Regular Session of the 124th General Assembly (2026)

PRINTING CODE. Amendments: Whenever an existing statute (or a section of the Indiana Constitution) is being amended, the text of the existing provision will appear in this style type, additions will appear in **this style type**, and deletions will appear in ~~this style type~~.

Additions: Whenever a new statutory provision is being enacted (or a new constitutional provision adopted), the text of the new provision will appear in **this style type**. Also, the word **NEW** will appear in that style type in the introductory clause of each SECTION that adds a new provision to the Indiana Code or the Indiana Constitution.

Conflict reconciliation: Text in a statute in *this style type* or ~~this style type~~ reconciles conflicts between statutes enacted by the 2025 Regular Session of the General Assembly.

HOUSE BILL No. 1185

A BILL FOR AN ACT to amend the Indiana Code concerning agriculture and animals.

Be it enacted by the General Assembly of the State of Indiana:

- 1 SECTION 1. IC 14-32-8-7, AS AMENDED BY P.L.12-2025,
2 SECTION 2, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
3 JULY 1, 2026]: Sec. 7. Money in the fund may be spent in the
4 following ways:
5 (1) To increase district technical assistance in local conservation
6 efforts.
7 (2) To develop an environmental stewardship program to assist
8 land occupiers in complying with environmental regulations
9 voluntarily.
10 (3) To qualify for federal matching funds.
11 (4) To provide for the following cost sharing programs:
12 (A) A program to encourage land occupiers to implement
13 conservation practices to reduce nutrient, pesticide, and
14 sediment runoff.
15 (B) Programs that encourage land occupiers to implement
16 nutrient management programs by sharing the cost of any of
17 the following:

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- 1 (i) Fencing for intensive grazing systems.
- 2 (ii) Purchasing nutrient management equipment.
- 3 (iii) Voluntary environmental audits.
- 4 (iv) Other similar expenditures related to nutrient
- 5 management.
- 6 (5) To provide matching grants to districts for the following:
 - 7 (A) Professional watershed coordinators to facilitate and
 - 8 administer local watershed protection projects.
 - 9 (B) District managers to administer district conservation
 - 10 policies and programs.
- 11 (6) To increase state technical and capacity building assistance to
- 12 districts and local conservation efforts by providing for the
- 13 following:
 - 14 (A) Capacity building specialists to train district personnel in
 - 15 grant writing, grant administration, and leadership
 - 16 development.
 - 17 (B) Conservation education specialists to help implement
 - 18 district conservation education efforts.
 - 19 (C) Urban storm water specialists to provide technical
 - 20 assistance to developers to contain soil erosion on construction
 - 21 sites.
- 22 (7) To make distributions as provided under section 8 of this
- 23 chapter.
- 24 (8) Implementation of geographic information systems (GIS) or
- 25 similar technology.
- 26 (9) To provide for the management of invasive plant species.
- 27 **(10) To provide funding for:**
 - 28 **(A) the installation and maintenance of mesonet sites under**
 - 29 **IC 15-11-4-3; and**
 - 30 **(B) data modeling gathered from mesonet sites in**
 - 31 **collaboration with state and federal agencies and the state**
 - 32 **climate office hosted by Purdue University that provides**
 - 33 **beneficial information and modeling for agricultural**
 - 34 **purposes, including agriculture decision making tools.**
- 35 SECTION 2. IC 15-11-4-3, AS AMENDED BY P.L.95-2016,
- 36 SECTION 7, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE
- 37 JULY 1, 2026]: Sec. 3. (a) The division shall do the following:
 - 38 (1) Provide administrative and staff support for the soil
 - 39 conservation board.
 - 40 (2) Administer all programs relating to land and soil conservation
 - 41 in Indiana.
 - 42 (3) Manage Indiana's watersheds.



(4) Administer the clean water Indiana program.

(5) Perform other functions assigned by the secretary or the director.

(6) Work in collaboration with state and federal agencies and research institutions in the installation and maintenance of mesonet sites.

(b) The duties of the division do not include administering the Lake Michigan Coastal program. The Lake Michigan Coastal program shall administer the state's compliance with and provide assistance under the federal Coastal Zone Management Act (16 U.S.C. 1451 et seq.).

SECTION 3. IC 15-11-9-1, AS AMENDED BY P.L.1-2009, SECTION 112, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 1. The director ~~shall~~ **may** perform the following duties:

(1) Work ~~with each county~~ to develop ~~an annual~~ **a regional** strategic assessment of Indiana ~~agricultural industries~~ **agriculture** and establish targeted priorities for ~~industry expansion~~ **each region**.

(2) Develop recommendations for legislative and administrative programs that will enhance ~~economic market~~ **development in the targeted agricultural industries** ~~for farmers, producers, and agricultural businesses~~.

(3) Establish cooperative ~~industry~~ research and development initiatives that lead to new agricultural ~~industry~~ opportunities in Indiana.

(4) Serve as a resource for industry in the planning, promotion, and development of ~~value added~~ agricultural products and agricultural industry opportunities in Indiana, including product feasibility, market feasibility, economic feasibility, product development, product testing, and test marketing.

(5) Serve as a resource for industry and the state in ~~attracting value added~~ **developing** agricultural ~~industry to Indiana~~ **markets for Indiana agriculture**.

(6) Develop private sector research funding and technology transfer programs commensurate with the state's targeted agricultural ~~industry~~ **economic market** development objectives.

(7) Provide a forum for continuing dialogue among industry, government, and researchers in addressing the needs and opportunities for expanding the ~~value added~~ agricultural ~~industry~~ **markets**.

(8) Make grants from the fund to farmers, producers, agricultural businesses, associations, or organizations to



support the purposes of this chapter.

SECTION 4. IC 15-11-9-4, AS ADDED BY P.L.2-2008, SECTION 2, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 4. (a) The ~~value added research~~ **agricultural market development** fund is established to provide money for:

(1) the ~~center for value added research;~~ **agricultural market development**; and

(2) the director to carry out the duties specified under **IC 15-11-6** **and** this chapter.

(b) The director shall administer the fund.

(c) The fund consists of:

(1) money appropriated by the general assembly; **and**

(2) **donations, grants, and money received from any other source.**

(d) The treasurer of state shall invest the money in the fund not currently needed to meet the obligations of the fund in the same manner as other public funds may be invested.

(e) Money in the fund at the end of a state fiscal year does not revert to the state general fund.

SECTION 5. IC 26-3-7-6.3, AS AMENDED BY P.L.114-2025, SECTION 12, IS AMENDED TO READ AS FOLLOWS [EFFECTIVE JULY 1, 2026]: Sec. 6.3. (a) The grain buyers and warehouse licensing agency license fee fund is established to provide funds for the administration of this chapter and IC 26-3-7.5. The fund shall be administered by the agency. The fund consists of:

(1) the moisture testing device inspection fees collected under IC 26-3-7.5-6;

(2) the licensing fees collected under section 4.4 of this chapter;

(3) the fines collected under this chapter;

(4) gifts and bequests; and

(5) appropriations made by the general assembly.

(b) Expenses of administering the fund shall be paid from money in the fund.

(c) The treasurer of state shall invest the money in the fund not currently needed to meet the obligations of the fund in the same manner as other public money may be invested. Interest that accrues from these investments shall be deposited in the fund.

(d) Money in the fund at the end of a state fiscal year does not revert to the state general fund.

(e) With the approval of the budget agency, the money in the fund allocated under this section may be used to augment and supplement the funds appropriated for the implementation of this



1 **chapter.**



COMMITTEE REPORT

Mr. Speaker: Your Committee on Agriculture and Rural Development, to which was referred House Bill 1185, has had the same under consideration and begs leave to report the same back to the House with the recommendation that said bill do pass.

(Reference is to HB 1185 as introduced.)

AYLESWORTH

Committee Vote: Yeas 10, Nays 0

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